vendors. Inspections, such as for safety, could be given to accredited third-party private institutions.

Reducing Everyday Friction

The interim 38-point agenda that the committee came up with and is already implementing works on a trust-based regulatory framework. As Gauba explains, "The PM's governance philosophy is one of shifting from suspicion-based rules, a colonial hangover, to trust-based regulation, where you regard the citizen as honest. Our goal is to reduce the government-in-your-face approach to one where the state should be present where needed as a safety net and absent where not needed, especially in the conduct of daily business operations." These included simplifying filing GST returns and increasing exemption thresholds, raising the turnover ceiling for a "small company" from Rs 40 crore to Rs 100 crore and reducing mandatory board meetings and audit burdens for smaller firms. For agencies like the Food Safety and Standards Authority of India (FSSAI) and the Bureau of Indian Standards (BIS), it has recommended moving complex licence-and-inspection regimes to simpler two-tier standards systems.

"The PM's governance philosophy is one of shifting from suspicion-based rules to trust-based regulation. Our goal is to reduce the government-in-your-face approach to one where the state should be present only where needed"

— Rajiv Gauba
Former Cabinet Secretary

The impact of these reforms is being felt most in the dismantling of the wide range of Quality Control Orders (QCOs) that have slowed both import and export growth. Over the past eight years, the government had introduced mandatory product standards seemingly to ensure quality and regulate imports across 1,300 goods. These, according to experts, included standards for every nut, bolt and coil rather than the finished product, such as a fan or heater, becoming a whole new source of harassment and corruption. Producers and consumers across sectors were hit; MSMEs more so. In November, the government reduced these QCOs to around 750.

Meanwhile, the Modi government pushed the second

Graphic by TANMOY CHAKRABORTY

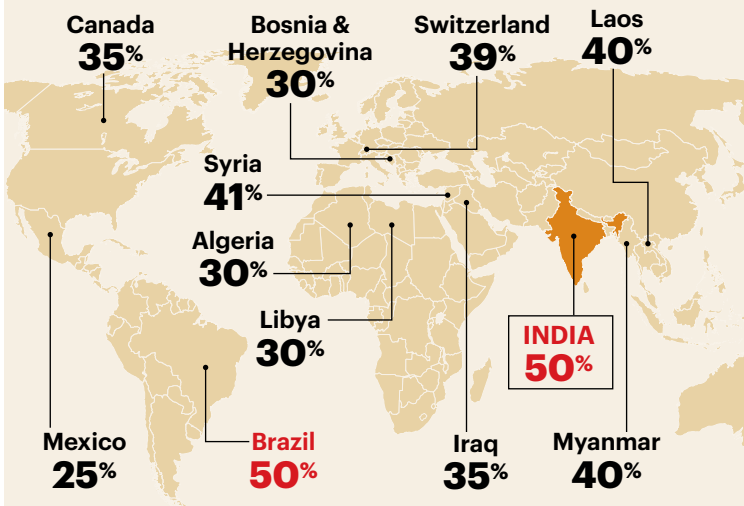
INDIA-US RELATIONS

Friends Without Benefits

A deal to relax American tariffs remains elusive, hurting key Indian sectors

↘ President Trump's 50 per cent tariffs continue to be imposed on Indian goods entering American shores. Half of this tax was slapped solely due to continuing oil and military dealings with Russia

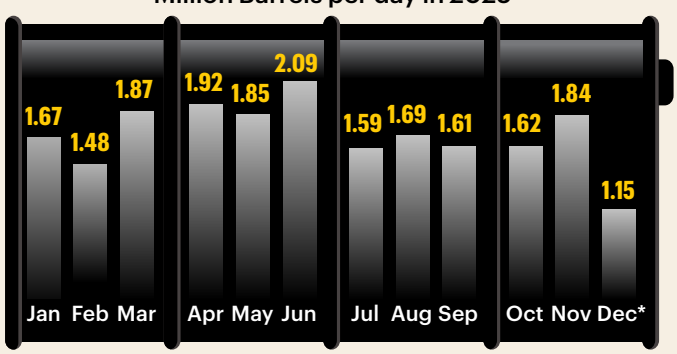
Trump's global tariff war



↘ While products crucial for the US—like pharmaceuticals, semiconductors and minerals—are still shipped from India without this duty, other sectors like textiles, gems, jewellery and leather have had to divert exports to other nations

INDIA's OIL & PETROLEUM PRODUCTS IMPORTS FROM RUSSIA

Million Barrels per day in 2025



**Provisional (till Dec. 30, 2025); Source: Kpler*

↘ A trade deal between India and the US remains up in the air even as oil imports from Russia fell continuously through July, August and September

↘ November's imports, however, saw a six-month high at 1.84 million barrels per day. A high-level meeting last month yielded no indication from the White House on tariff relaxation, while the graph dipped